

investments of my collected corpus. Over 12 years of job, I had accumulated a corpus of ₹40 Lacs. However, I had no idea how to invest this corpus efficiently to generate good returns, and no one ever taught me the importance of the 4th lever.

Since most of my investments were in debt based assets, I was getting an average RoI of around 7% post taxes being paid. This meant that my invested corpus of ₹40 Lacs was returning me ₹2.8 lacs per annum. If I had invested even a small portion of my time gaining some financial knowledge, re-organising and re-balancing my portfolio, it would not have been difficult to achieve 10-12% returns on the corpus. Even if I take a pessimistic scenario of 10%, it means that it was easy to achieve a 3% increase in RoI from my corpus (from 7% to 10%). Now, this 3% increase in corpus returns means 1.2 Lacs increase in annual returns on a corpus of ₹40 Lacs.

So, here we are. By investing only a fraction of time on the 4th lever vis-à-vis the 1st Lever, I could have generated 67% higher yield (₹1.2 Lacs vs ₹72,000 per year). And not only that, as your corpus grows, the value of this 3% keeps growing of its own.

All this is happening because in the 4th lever, we are making money work for us, while in the 1st lever, we are working for our money. Yes, this would definitely mean getting some fundamental awareness about finances, being disciplined and committed – but that's the price you pay for financial freedom. And the price you pay for this financial freedom is far lesser than what you pay for a lifetime of slavery.

Here are some tips that can help you maximise returns from your 4th lever:

- Make sure your portfolio is aligned as per your age and risk taking capacity (As given in the Chapter 'Building and Balancing Your Portfolio'). If it is not correctly aligned, start taking steps to move your assets and investments towards the right mix. The earlier you take these steps, the better. As your portfolio grows, it is going to be difficult to change the asset allocation since the numbers would be bigger.